

Nexa Bank - Comprehensive Loan Guide

Section 1: Loan Overview

Nexa Bank customers can apply for loans, view loans associated with their account, and make repayments towards loans that have been accepted.

A loan progresses through different stages during its lifecycle. The current loan status indicates the stage that the loan or loan application has reached.

Customers can view and manage loans associated with their own account where the relevant functionality is available.

Administrative users have additional permissions relating to loan applications. Administrators can review pending applications and make decisions on whether those applications should be accepted or rejected.

Loan information is associated with the customer account to which the loan belongs. Customers cannot access or manage loans belonging to other customers.

Section 2: Applying for a Loan

Authenticated customers can apply for a loan through the loan application section of the Nexa Bank application.

A customer must complete the loan application form and provide the required loan information before submitting the application.

Submitting an application creates a loan application that initially has a **PENDING** status.

A pending application has been submitted successfully but has not yet received an administrative decision.

The customer does not decide whether their own loan application is accepted or rejected. Loan decisions are made by authorised Nexa Bank administrators.

Loan application process

The general application process is:

1. The customer accesses the loan application section.
 2. The customer provides the required loan information.
 3. The customer submits the loan application.
 4. The application enters the **PENDING** state.
 5. A Nexa Bank administrator reviews the pending application.
 6. The administrator either accepts or rejects the application.
 7. If accepted, the customer can make repayments towards the loan.
 8. If rejected, the loan application is declined and cannot proceed as an accepted loan.
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Section 3: Loan Application Status

A newly submitted loan application has a status of **PENDING**.

PENDING

A **PENDING** loan application has been submitted and is awaiting an administrative decision.

While an application is pending:

- The application has not yet been accepted.
- The application has not yet been rejected.
- An administrator can review the application.
- An administrator can accept the application.
- An administrator can reject the application.
- The customer cannot make the acceptance or rejection decision.

A loan application remains PENDING until an administrator makes a decision.

Once a decision has been made, the application is no longer pending.

Section 4: Loan Decisions

Loan applications are reviewed by authorised Nexa Bank administrators.

An administrator can make a decision on a loan application while the application is in the **PENDING** state.

There are two possible loan decisions:

- **ACCEPTED**
- **REJECTED**

ACCEPTED

An **ACCEPTED** loan application has been approved.

Once a loan has been accepted, the customer can view the accepted loan and make repayments towards it.

An accepted loan can display information such as:

- Loan ID.
- Loan type.
- Loan amount.
- Loan duration.
- Interest rate.
- Monthly EMI.
- Remaining loan amount.
- Accrued interest.
- Current loan status.
- Remaining duration.

REJECTED

A **REJECTED** loan application has been declined by an administrator.

A rejected application does not become an accepted loan and is not available for repayment as an accepted loan.

Decision restrictions

A loan decision can only be made while the application is in the **PENDING** state.

Once an administrator has accepted or rejected the application, it is no longer pending.

Customers cannot accept or reject loan applications.

Section 5: Viewing Loans

Authenticated customers can view loans associated with their own Nexa Bank account through the loans section of the application.

The information displayed for a loan can include:

- Loan ID.
- Loan type.
- Loan amount.
- Loan duration.
- Interest rate.
- Monthly EMI.
- Current loan status.
- Accrued interest.
- Remaining loan amount.
- Remaining duration.

The information available can depend on the current state of the loan.

For example, an accepted loan may display its remaining balance, accrued interest, monthly repayment amount, and remaining duration.

Customers can only view loans associated with their own account.

A customer cannot use the loan section to view or manage another customer's loans.

Section 6: Accepted Loans

An **ACCEPTED** loan has been approved by a Nexa Bank administrator and is available for repayment.

Customers with an accepted loan can view the loan information

associated with it and make repayments towards the outstanding balance.

An accepted loan can include information such as:

- Original loan amount.
- Remaining loan amount.
- Loan type.
- Loan duration.
- Remaining duration.
- Interest rate.
- Monthly EMI.
- Accrued interest.
- Current status.

The remaining loan amount represents the outstanding amount that remains to be repaid.

As repayments are made, the outstanding balance can decrease until the loan is fully repaid.

Section 7: Loan Repayments

Customers can make repayments towards an accepted loan.

A repayment identifies:

- The accepted loan being repaid.
- The amount the customer wishes to pay.

The repayment amount must be greater than zero.

A repayment cannot be greater than the remaining loan amount.

Repayments can be made through the loan repayment section of the Nexa Bank application.

Repayment requirements

For a repayment to be valid:

- The loan must be available for repayment.
- The loan must be in the **ACCEPTED** state.
- The repayment amount must be greater than zero.
- The repayment amount must not exceed the remaining loan amount.

A loan that has already been fully repaid is not available for further repayment.

Section 8: Monthly EMI

The **monthly EMI** is the expected monthly repayment amount for a loan.

EMI represents the regular repayment amount associated with the loan.

Customers can make repayments that differ from the monthly EMI.

A repayment can be:

- Less than the monthly EMI.
- Equal to the monthly EMI.
- Greater than the monthly EMI.

The effect of a repayment can therefore depend on how the amount compares with the expected monthly EMI.

Section 9: Repayment Below the EMI

A customer can choose to make a repayment below the expected monthly EMI.

A repayment below the monthly EMI is smaller than the regular expected monthly repayment amount.

A repayment below the expected monthly EMI may increase the remaining duration of the loan and can result in more interest being paid over the lifetime of the loan.

Customers are warned before proceeding with a repayment below the expected monthly EMI.

The warning allows the customer to understand that making a repayment below the expected monthly amount may affect the remaining loan duration and total interest paid.

A repayment below the EMI is therefore different from failing to make a repayment entirely, but it can still affect the progression of the loan.

Section 10: Repayment Equal to the EMI

A repayment equal to the monthly EMI matches the expected regular monthly repayment amount.

This represents the standard monthly repayment for the loan.

A repayment equal to the EMI can be submitted without the additional warning associated with repayments that are below or above the expected monthly amount.

Regular repayments at the EMI amount allow the customer to follow the expected repayment schedule for the loan.

Section 11: Repayment Above the EMI

Customers can make a repayment greater than their expected monthly EMI.

A repayment above the EMI is an additional amount paid towards the outstanding loan balance.

Making a larger repayment can:

- Reduce the remaining loan balance.
- Reduce the remaining loan duration.
- Allow the customer to repay the loan sooner.
- Potentially reduce the amount of interest paid over the lifetime of the loan.

The regular monthly repayment amount remains unchanged after making an additional repayment.

Customers are warned before proceeding with a repayment above the expected monthly EMI.

The warning indicates that the customer is making a repayment larger than the expected monthly amount.

Section 12: Repayment and Remaining Balance

The remaining loan amount represents the outstanding amount associated with the loan.

When a customer makes a valid repayment, the amount outstanding on the loan is reduced according to the repayment and the loan's applicable repayment rules.

Customers cannot submit a repayment that is greater than the remaining loan amount.

Once the loan has been completely repaid, the loan enters the **PAID** state.

A paid loan is no longer available for further repayment.

Section 13: Accrued Interest

Accrued interest represents interest that has accumulated on the outstanding loan amount since interest was last calculated.

Accrued interest can be displayed alongside the remaining loan amount.

The loan's applicable interest rate is used when calculating accrued interest.

Accrued interest is calculated based on the amount of time that has elapsed since interest was last calculated.

The accrued interest therefore represents interest that has accumulated over time rather than simply representing the original interest rate of the loan.

Accrued interest and loan information

An accepted loan may display both:

- Remaining loan amount.
- Accrued interest.

These values represent different aspects of the loan.

The remaining loan amount represents the outstanding loan balance, while accrued interest represents interest accumulated since interest was last calculated.

Section 14: Loan Interest Rate

Each loan has an associated interest rate.

The interest rate is used when calculating interest associated with the loan.

The applicable interest rate can be displayed as part of the customer's loan information.

The interest rate is separate from the monthly EMI.

The EMI represents the expected monthly repayment amount, while the interest rate represents the rate used when calculating interest on the loan.

Accrued interest is calculated using the loan's interest rate and the amount of time that has elapsed since interest was last calculated.

Section 15: Loan Statuses

Loans and loan applications can have different statuses during their lifecycle.

The primary statuses are:

- **PENDING**
- **ACCEPTED**
- **REJECTED**
- **PAID**

PENDING

The loan application has been submitted and is awaiting an administrative decision.

A pending application can be accepted or rejected by an authorised administrator.

ACCEPTED

The loan application has been approved.

An accepted loan is available for repayment.

Customers can make repayments towards an accepted loan.

REJECTED

The loan application has been declined by an administrator.

A rejected loan application is not available for repayment as an accepted loan.

PAID

The loan has been fully repaid.

A paid loan is no longer available for further repayment.

Section 16: Loan Status Differences

The statuses represent different stages in the loan lifecycle.

Status	Meaning	Available for repayment?
PENDING	Application is awaiting an administrative decision.	No
ACCEPTED	Application has been approved and the loan is available for repayment.	Yes
REJECTED	Application has been declined.	No
PAID	Loan has been fully repaid.	No

The status of a loan determines what actions are available.

A customer cannot make repayments towards a PENDING application because an administrative decision has not yet been made.

A customer can make repayments towards an ACCEPTED loan.

A REJECTED application cannot be repaid because it was not approved.

A PAID loan cannot receive additional repayments because the loan has already been fully repaid.

Section 17: Administrative Permissions

Administrators have additional permissions relating to loan applications.

Administrators can:

- View pending loan applications.
- Review pending loan applications.
- Accept pending loan applications.
- Reject pending loan applications.
- Make administrative decisions on pending applications.

An administrator can only make a loan decision while the application is in the PENDING state.

Once the application has been accepted or rejected, the pending decision process has been completed.

Customers do not have administrative permissions.

Customers cannot:

- Accept loan applications.
- Reject loan applications.
- Make loan decisions.
- Review another customer's pending loan application.

Section 18: Customer Loan Permissions

Authenticated customers can manage loans associated with their own

account.

Customers can:

- Apply for a loan.
- View their own loans.
- View their own loan information.
- View their loan status.
- View applicable loan information such as the loan amount, duration, interest rate, EMI, and accrued interest.
- Make repayments towards accepted loans.
- View the remaining amount of an accepted loan where available.

Customers cannot:

- View another customer's loans.
- View another customer's loan information.
- Make decisions on loan applications.
- Accept loan applications.
- Reject loan applications.
- Manage another customer's loan.
- Make repayments towards another customer's loan.

Loan access is restricted to the authenticated customer's own account.

Section 19: Loan Lifecycle

A typical Nexa Bank loan follows a defined lifecycle.

Stage 1 — Application

The customer completes and submits a loan application.

Stage 2 — Pending

The newly submitted application enters the **PENDING** state.

The application is awaiting review by a Nexa Bank administrator.

Stage 3 — Administrative Decision

An administrator reviews the pending application.

The administrator can either:

- Accept the application.
- Reject the application.

Stage 4 — Accepted or Rejected

If the application is accepted, it becomes an **ACCEPTED** loan and becomes available for repayment.

If the application is rejected, it enters the **REJECTED** state and does not become an accepted loan.

Stage 5 — Repayment

For an accepted loan, the customer can make repayments.

The customer can make repayments below, equal to, or above the expected monthly EMI, subject to the applicable repayment rules.

Stage 6 — Interest Accumulation

Interest can accumulate on the outstanding loan amount.

Accrued interest represents interest accumulated since interest was last calculated.

Stage 7 — Fully Repaid

The customer continues making repayments until the loan has been fully repaid.

Once the loan is fully repaid, its status becomes **PAID**.

A PAID loan is no longer available for further repayment.

Section 20: Loan Repayment Behaviour

The amount a customer chooses to repay can affect the progression of the loan.

Repayment below the EMI

A repayment below the expected monthly EMI may:

- Increase the remaining loan duration.
- Result in more interest being paid over the lifetime of the loan.
- Trigger a warning before the repayment is submitted.

Repayment equal to the EMI

A repayment equal to the expected monthly EMI:

- Matches the standard expected monthly repayment.
- Does not trigger the additional warning associated with repayments below or above the EMI.

Repayment above the EMI

A repayment above the expected monthly EMI may:

- Reduce the remaining loan balance.
- Shorten the remaining loan duration.
- Allow the loan to be paid off sooner.
- Potentially reduce lifetime interest.
- Trigger a warning before the repayment is submitted.

The regular monthly EMI remains unchanged when an additional repayment is made.

Section 21: Loan Information Reference

The following information may be associated with and displayed for a Nexa Bank loan:

Information	Description
Loan ID	Identifier associated with the loan.
Loan Type	The type or category of loan.
Loan Amount	The amount associated with the loan.
Loan Duration	The duration of the loan.
Interest Rate	The interest rate applicable to the loan.
Monthly EMI	The expected regular monthly repayment amount.
Loan Status	The current state of the loan or application.
Remaining Loan Amount	The outstanding amount remaining to be repaid.
Accrued Interest	Interest accumulated since interest was last calculated.

Remaining Duration

The remaining period associated with an accepted loan.

Section 22: Important Loan Rules

The following rules describe the core behaviour of Nexa Bank's loan system:

- Customers must be authenticated to access their loan information.
 - Customers can only view loans associated with their own account.
 - A newly submitted loan application enters the PENDING state.
 - Pending applications require an administrative decision.
 - Administrators can accept or reject pending applications.
 - Customers cannot make loan decisions.
 - An ACCEPTED loan is available for repayment.
 - A REJECTED application is not available for repayment.
 - A PAID loan is no longer available for repayment.
 - Repayment amounts must be greater than zero.
 - A repayment cannot exceed the remaining loan amount.
 - Customers can make repayments below, equal to, or above the monthly EMI.
 - Repayments below the EMI may increase the remaining duration and lifetime interest.
 - Repayments above the EMI can reduce the remaining balance and shorten the remaining duration.
 - Accrued interest represents interest accumulated since interest was last calculated.
 - The loan's interest rate is used when calculating accrued interest.
 - Customers cannot access or manage another customer's loans.
 - Administrators have additional permissions for reviewing and deciding on loan applications.
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Section 23: Quick Reference

PENDING The loan application has been submitted and is awaiting an administrative decision.

ACCEPTED The loan application has been approved and the loan is available for repayment.

REJECTED The loan application has been declined by an administrator.

PAID The loan has been fully repaid and is no longer available for further repayment.

Monthly EMI The expected regular monthly repayment amount.

Repayment below EMI A repayment smaller than the expected monthly EMI. It may increase the remaining loan duration and lifetime interest and triggers a warning.

Repayment equal to EMI The standard expected monthly repayment amount.

Repayment above EMI A repayment larger than the expected monthly EMI. It can reduce the remaining balance and shorten the loan duration and triggers a warning.

Accrued interest Interest accumulated on the outstanding loan amount since interest was last calculated.

Customer access Customers can only view and manage loans associated with their own account.

Administrative access Administrators can review pending applications and accept or reject them.